

3.3 Star Wars

Right from day one in the console industry, there have been power struggles. From the good old days of the 2600 to the next-gen consoles such as the PS3 and the Xbox 360, companies have been going at each other's throats to ensure they became the undisputed market leaders. These battles came to be known as the 'console wars', and have become an integral part of the industry.

Episode 1: The earliest console wars can be traced to the 1980s and the battle between the Atari 2600, the Intellivision and the Colecovision. The 2600 was launched in the late 70s and was priced at \$199. It was extremely successful and prompted many other companies into entering the industry. One such company was Mattel, and they debuted their Intellivision in 1980. Thus the very first console war began. The Intellivision was priced at \$299, and was the first console to seriously challenge the 2600. Yet, it was the 2600 that sold more units despite being less advanced than the Intellivision, since it was cheaper and had better games available. But the war wasn't over just yet. The Colecovision debuted in 1982 and recorded good sales, and had many popular games available for it.

Ironically, the first console wars ended with bankruptcy for each combatant. The industry crashed in 1983, because of pressure from cheaper personal computers, and the general belief among retailers that console gaming was just a passing fad. Oversupplies of games and dropping prices meant that each company stopped being a major player in the industry, with some companies shutting down altogether.

Episode 2: The next console war didn't really last long. The SMS and the NES fought it out for supremacy, but with Nintendo's strict policy of dedicated third-party game developers, the SMS was no match for them. It did do well, however, in areas such as Europe, where the NES did not have much penetration.